

2-2c Statement of Stockholders' Equity Accounts (Dividends)

The debit and credit rules for recording dividends are based on the effect of dividends on stockholders' equity (retained earnings). Since dividends decrease stockholders' equity (retained earnings), the dividends account is increased by debits. Likewise, the dividends account is decreased by credits. Thus, the rules of debit and credit for the dividends account are as follows:

Dividends Account

Debit for	Credit for
increases (+)	decreases (–)